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Merida (9914.TW)

3Q26 Miss on Weaker Core and Larger SBC Loss

CITI'S TAKE

Merida's 3Q26 EPS of NT$0.59 fell 72% y/y, missing our/BBG estimates by 71%/64% each, reflecting weaker core operations and a larger loss from SBC. 3Q sales fell 16% y/y; 11% below our/BBG expectations, while weaker margins at its own-brand subsidiaries drove a 4.6ppt q/q drop in GPM to 15.2%. That, along with a larger than expected deleverage, resulted in op profits dipping 10% y/y to NT$384mn, missing both our/BBG estimates by 41%/37% respectively. Merida recorded a NT$150mn non-op loss, driven mostly by the investment loss from SBC (NT$136mn). We expect a negative share price reaction given the operating miss and weaker SBC contribution. We await more detail on the recovery outlook at the company's Nov 17th results briefing.

More details on SBC — SBC's 9M26 sales declined by a single digit y/y with stable GPM and improving opex. Pre-tax profits rose 40% y/y in 9M26. Yet the higher effective tax rate dragged profitability, leading to a net loss of US$25mn in 9M26. Mgmt expects SBC to launch more new products in 2027E which should further drive the top-line and earnings recovery.

Implications — We expect a negative share price reaction to the results print given the weaker-than-expected core biz and the SBC loss. Mgmt expects FY26 sales to fall 14-15% y/y with 4Q OEM sales seasonally softer than 3Q. New models are due from Jan-27 and mgmt expects low-teens growth y/y for FY27E. We will look for more detail on the drivers of the expected sales recovery at its 3Q26 results briefing next Tuesday, Nov 17.

Neutral	
Price (11 Nov 26 13:30)	NT$61.00
Target price	NT$93.00
Expected share price return	52.5%
Expected dividend yield	3.6%
Expected total return	56.1%
Market Cap	NT$18,238M
	US$554M

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Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	-699	-2.34	-141.3	na	0.9	-3.5	6.6
2025A	1,200	4.01	271.7	15.2	0.9	6.2	4.1
2026E	1,590	5.32	32.4	11.5	0.9	8.0	5.4
2027E	2,024	6.77	27.3	9.0	0.9	9.8	6.9
2028E	2,325	7.78	14.9	7.8	0.8	10.8	7.9

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. Merida: 3Q26 Results Comp

Merida (9914.TW): Result Comparison

NT$ mn	3Q26A	2Q26	Q/Q	3Q25	Y/Y	3Q26 Citi	Diff	3Q26 BBG	Diff
Revenue	6,098	6,939	-12%	7,223	-16%	6,860	-11%	6,859	-11%
Gross profit	930	1,374	-32%	990	-6%	1,235	-25%	1,186	-22%
Operating profit	384	765	-50%	425	-10%	651	-41%	613	-37%
Non op profit	-150	-303	nm	345	nm	143	nm	124	nm
Pre-tax profit	234	462	-49%	771	-70%	794	-70%	737	-68%
Net profit	176	318	-45%	625	-72%	597	-71%	510	-66%
Basic EPS (NT$)	0.59	1.06	-45%	2.09	-72%	2.00	-71%	1.65	-64%
Ratio									
Gross margin (%)	15.2	19.8	-4.6	13.7	1.5	18.0	-2.8	17.3	-2.0
Operating margin (%)	6.3	11.0	nm	5.9	0.4	9.5	-3.2	8.9	-2.6
Net margin (%)	2.9	4.6	nm	8.7	-5.8	8.7	-5.8	7.4	-4.6

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Source: Company Reports, Bloomberg, Citi Research, Citi Research Estimates

Merida

Valuation

Our target price for Merida shares of NT$93 is based on a 2H26-1H27E P/E of 15.5x, a 30% discount to its historical average of 22x during pre-Covid years (2014-2019), in view of soft order momentum as a result of slow recovery in bike demand, a volatile margin trend, and low visibility of SBC.

Risks

Downside risks that could mean the Merida shares trade below our target price include: 1) e-bike adoption slower than expected; 2) weaker restocking demand; 3) lukewarm sell-through at SBC; and 4) a weaker macro.

Upside risks that could mean the Merida shares trade above our target price include: 1) e-bike adoption faster than expected; 2) stronger restocking demand; 3) stronger sell-through at SBC; and 4) a strong macro.

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Appendix A-1

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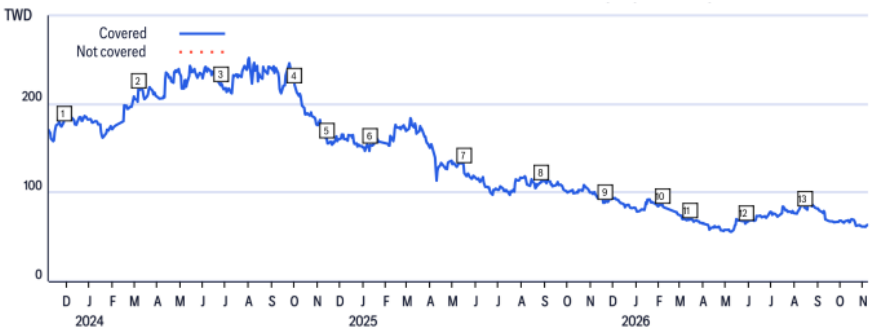
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Merida (9914.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	27-Nov-23 01:53:53	1	*215.00	179.00
2	06-Mar-24 15:52:43	1	*245.00	216.50
3	25-Jun-24 06:39:13	1	*250.00	223.00
4	03-Oct-24 05:20:14	*2	*215.00	221.50
5	13-Nov-24 09:12:29	2	*170.00	160.50
6	12-Jan-25 09:57:05	2	*160.00	153.50
7	15-May-25 06:13:15	2	*145.00	131.50
8	27-Aug-25 01:39:34	2	*123.00	112.50
9	21-Nov-25 06:01:50	2	*100.00	90.40
10	05-Feb-26 05:00:54	2	*96.00	86.40
11	13-Mar-26 10:50:40	2	*77.00	69.20
12	28-May-26 02:45:44	2	*72.00	66.00
13	14-Aug-26 11:29:00	2	*93.00	83.30

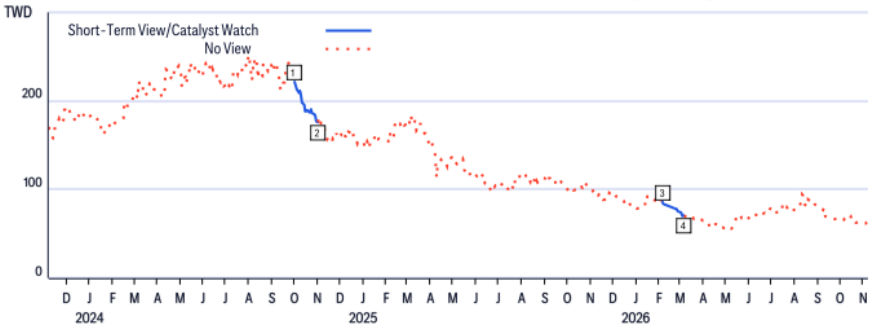
*Indicates Change

Rating/target price changes above reflect Eastern Time

Merida (9914.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Oct-24 01:20:14	Add CW	Downside	30 Days	221.50
2	01-Nov-24 14:30:02	Remove CW	Downside	30 Days	176.00
3	05-Feb-26 00:00:54	Add STV	Downside	30 Days	86.40
4	06-Mar-26 12:23:03	Remove STV	Downside	30 Days	70.30

CW - Catalyst Watch , STV - Short-Term View

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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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